Populist leaders often frame IOs as elitist and out of touch, portraying them as threats to national sovereignty. These criticisms resonate with domestic audiences, undermining IOs' legitimacy and effectiveness.

In response, IOs face a range of strategic choices. They must decide how to counter populist opposition while maintaining their credibility and relevance. This book theorizes the menu of options available to IOs, from appeasing populists through concessions to sidelining them and engaging directly with their domestic constituents. We examine how IOs formulate these responses, the decision makers involved, and the implications of these strategies for global governance. We also outline the empirical strategy we adopt in the following chapters to assess the theory and conclude with a description of the international finance arena in which we conduct many of our statistical tests.

2.1 Defining Populism: Understanding the Challenge to IOs

To build a unified theory, it is essential to first define our key concept: populism. While scholars have long debated its precise contours, recent literature coalesces around two central ideas. First, populists believe a nation's "true people" are locked in perpetual conflict with outsiders, including establishment elites. Second, populists assert that nothing should constrain the will of these "true people" (Mudde and Rovira Kaltwasser 2017). These principles form the backbone of the populist worldview and underpin the challenges they pose to IOs.

Populism is widely regarded as a "thin-centered ideology" (Mudde and Rovira Kaltwasser 2017; Busby, Gubler, and Hawkins 2019) because, unlike more comprehensive worldviews (e.g., liberalism or fascism), it is compatible with other belief systems. As such, populism often fuses with other ideologies, broadening its appeal and impact. On the right, it aligns with nativism, defining the "true people" in ethnic or racial terms and targeting immigrants or minorities as threats to national identity (Copelovitch and Pevehouse 2019). On the left, populism frequently adopts socialist overtones, framing the "true people" as economically disadvantaged groups locked in a struggle against wealthy elites (Copelovitch and Pevehouse 2019).